ITEM No.11

CA(CAA)/32(AHM)2023

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Anup Heavy Engineering Ltd (Transferor Co.) **.....Applicant**
The Anup Engineering Ltd
(Transferee Co.) **.....Respondent**

Order delivered on 17/05/2023

Coram:

Mr. Deep Chandra Joshi, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

SD/-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

SD/-
DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
COURT-II

CA(CAA) No.32/NCLT/AHM/2023

[An Application filed under Section 230-232 of the Companies Act, 2013]

In the matter of:

(i) Anup Heavy Engineering limited
(CIN No. U29100GJ2019PLC11183)
having its registered office at:
Behind 66 KV Electric Sub Station,
Odhav Road, Ahmedabad- 382 415 **..Applicant Transferor Company**

(ii) The Anup Engineering Limited
(CIN No. L29306GJ2017PLC099085)
having its registered office at:
Behind 66 KV Electric Sub Station,
Odhav Road, Ahmedabad- 382 415 **.. Applicant Transferee Company**

Order Pronounced on 17/05/2023

Coram: Deep Chandra Joshi, Hon'bel Member (J)
Ajai Das Mehrotra, Hon'ble Member (T)

Appearance:

Learned Counsel Mrs. Swati Soparkar for the Applicant.

ORDER

[Per: BENCH]

1. This joint Application is filed jointly by the two Applicant Companies under Sections 230-232 and other applicable

provisions of the Companies Act, 2013 (hereinafter referred to as 'the Act') read with The Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as 'the rules'). The Scheme of Arrangement involves amalgamation of Anup Heavy Engineering Limited (hereinafter referred to as AHEL or the Transferor Company) with the Anup Engineering Limited (hereinafter referred to as TAEL or the Transferee Company).

2. The registered office of both the companies are situated at Behind 66 KV Electric Sub Station, Odhav Road, Ahmedabad 382 415, in the State of Gujarat and hence both of them are under the territorial jurisdiction of National Company Law Tribunal at Ahmedabad. Both the companies are empowered by their respective Memorandum of Associations to enter into Scheme of Arrangement. Copies of Memorandum of Association of both the companies are placed on record. Audited Financial Statements of both the companies as on 31st March 2022 and supplementary Financial Statements as on 31st December 2022 are placed on record. Affidavit is filed in support of the Application by one Mr. Cintankumar Mahendrabhai Patel, Company Secretary of The Anup Engineering Limited, the Applicant Transferee Company as well as Director of Anup Heavy Engineering Limited, the Applicant Transferor Company.

3. Anup Heavy Engineering Limited, the Applicant Transferor Company having (CIN No. U29100GJ2019PLC111583) has its Authorized Capital of Rs. 10,00,000/- and Issued, Subscribed and Paid up Capital of Rs. 3,01,500/-. The company is a Wholly Owned Subsidiary of The Anup Engineering Limited, the Applicant Transferee Company.

4. The Anup Engineering Limited, the Applicant Transferee Company having (CIN No. L29306GJ2017PLC099085) has its Authorised Capital of Rs. 65,25,00,000/- and Issued, Subscribed and Paid up Capital of Rs. 9,89,61,500/-. It is a listed public limited company and its equity shares are listed at BSE Limited and National Stock Exchange of India Limited. The said Applicant Company had submitted the Scheme to the aforesaid stock exchanges for disclosure purposes on 30th December 2022. Since the Transferor Company is a Wholly Owned Subsidiary of the Transferee Company, prior approval is not necessary.

5. It is submitted that both these companies belongs to the same management group. The Transferor Company is wholly owned subsidiary of the Applicant Transferee Company. The Transferor Company is primarily engaged in the business of fabrication and manufacturing of machinery and process equipment. However, it is still in the process of setting up its manufacturing facilities near Kheda, in the State of Gujarat. It has not yet started its commercial operations. The Transferee Company is

engaged in business of fabrication and manufacturing of machinery and engineering equipment at its manufacturing unit at Odhav and has substantial size of operations.

6. Rationale of this Scheme of Arrangement has been set out in the application as under:

It is envisaged by the Board of Directors of both the companies that the proposed amalgamation would be helpful to achieve the following objectives:-

(a) Reduce managerial overlap, reduce administrative cost and strengthen leadership in the industry;

(b) Improve organizational capabilities and leadership, arising from pooling of assets, human capital, and technical resources to compete successfully in an increasingly competitive industry;

(c) Consolidation and simplification of the group structure, cost savings resulting from rationalization, standardization and simplification of business processes;

(d) Avoiding un-necessary duplication of costs of administration, distribution, selling and marketing and reduction in legal and regulatory compliances;

(e) Achieving economies of scale.

7. Since the entire Equity Share Capital of AHEL, the Applicant Transferor Company is held by TAEL, the Applicant Transferee Company, no shares are required to be issued by the Transferee

Company towards consideration. Since the Scheme solely provides for merger of a wholly owned subsidiary with the parent company and in view of the aforesaid, TAEL is not required to undertake any valuation. However, it has obtained voluntarily report for valuation of shares from Registered Valuer. The Valuation Report provided by Mr. Harshil Patel, Independent Registered Valuer, dated 7th December, 2022 is placed on record.

8. The proposed Scheme of Arrangement was placed before the Audit Committee of the Applicant Transferee Company and thereafter before the Board of Directors of the Transferee Company as well as Transferor Company on 29th December 2022. The Board of Directors of both the Applicant Companies passed a resolution by which it was resolved that the Scheme of Arrangement placed before the Board be submitted to the National Company Law Tribunal for its sanction. Copies of the audit committee report and Board resolutions are placed on record.

9. The certificates of the Statutory Auditors of both the Applicant Companies issued under Section 133 of the Companies Act, 2013, certifying that the Accounting Treatment is in compliance with the applicable Accounting Standards, are placed on record.

10. Both the Applicant Companies have confirmed that there are no proceedings/investigation pending against any of the Applicant Companies under Sections 210 – 217, 219, 220, 223, 224, 225, 226 & 227 of the Companies Act, 2013 and/or Sections 235 to

251 of the Companies Act, 1956 and the like. There are no winding up petitions or proceedings under Insolvency and Bankruptcy Code pending against any of the Applicant Companies.

11. With respect to the Applicant Transferor Company, it is stated that

(a) There are 7 (seven) Equity Shareholders and all of them have given approval to the scheme by way of consent Affidavits. The said consent affidavits as well as Certificate from Chartered Accountant confirming the list and receipt of consent letters is placed on record. Hence, dispensation of meeting of Equity Shareholders of the Applicant Transferor Company is sought.

(b) There is only 1 Secured Creditor of the Applicant Transferor Company as on 28th February 2023. The said sole Secured Creditor has given approval to the scheme by way of consent Affidavit. The said consent affidavit as well as Certificate from Chartered Accountant confirming the list and receipt of consent letter is placed on record. Hence, dispensation of meeting of Secured Creditor of the Applicant Transferor Company is sought.

(c) There are only 10 Unsecured Creditors and the total value of unsecured debt is Rs. 50.49 crores as on 31st December 2022. Out of that 7 unsecured creditors of AHEL having the total value of debt at Rs. 50.34 crores have approved the proposed Scheme of Arrangement in form of the written consent letters on affidavit. Thus the approval to

the Scheme is obtained from Unsecured creditors representing 99.71 % of the total value of unsecured debt. The said consent affidavits as well as Certificate from Chartered Accountant confirming the list and receipt of consent letters is placed on record. Since this is in compliance with sub section 9 of section 230, the Applicant Transferor Company has prayed for dispensation of meetings of Unsecured Creditors.

12. With respect to the Applicant Transferee Company, it is stated that:

(a) There are more than 88,000 Equity shareholders as it is a listed public limited company. However, since AHEL, the Applicant Transferor Company is a Wholly Owned Subsidiary of TAEL, the Applicant Transferee Company, no shares are required to be issued to the shareholders of AHEL towards consideration for the proposed amalgamation of the Undertaking of AHEL to TAEL. The Scheme does not propose any restructure of capital and no compromise is proposed with the Shareholders of the Applicant Transferee Company. In light of this, the rights and interests of the Equity Shareholders of TAEL are not in any way affected. Hence, dispensation of the meeting of Equity Shareholders is sought.

(b) There are 4 Secured Creditors and the total value of Secured Debt is Rs. 261.56 crores as on 28th February 2023. All the four Secured Creditors have approved the proposed Scheme in form of consent letters on affidavit. All the consent letters and certificate of Chartered Accountant confirming the list and

receipt of consent letters are placed on record. Hence, dispensation of meeting of Secured Creditors of the Applicant Transferee Company is sought.

(c) There are about 232 unsecured creditors and the cumulative value of the unsecured debt is Approx. Rs. 41.03/- crores as on 28th February 2023; and a summary statement confirming the total number and cumulative unsecured debt as certified by Chartered Accountant is placed on record. Hence, the Applicant Transferee Company has prayed to dispense meetings of unsecured creditors. It was further submitted that the Applicant Transferee Company has very high Positive Net Worth. The Secured Creditors of both the Applicant Companies have approved the Scheme. The proposed scheme is not likely to have any adverse effect on the Net Worth of the Applicant Transferee Company. With a view to support the said contention, Net Worth Certificate for the Transferee Company in Pre Scheme and Post Scheme scenario is placed on record. This supports the contention of the Applicant Transferee Company that the rights and interests of the Unsecured Creditors of the said Transferee Company shall not be in any way affected. The Transferee Company shall continue its business in the same manner and no compromise is proposed for any of the aforesaid creditors. In view of the same it is prayed that approval of the said parties for the proposed Scheme of Arrangement be dispensed with.

It is further submitted that the said contention is supported by order of Hon'ble NCLAT dated 06.04.2021 in the matter of

Ambuja Cements Limited. A copy of the said order is also placed on record.

13. Heard the submissions made in this regard by Mrs. Swati Soparkar, learned advocate for the Applicant Companies. Taking into consideration, the submissions and the documents placed on record, we issue the following directions;

(i) In relation to AHEL, the Applicant Transferor Company,

a. **With respect to the Equity Shareholders**:

Convening the meeting of Equity Shareholders of the Applicant Company is hereby dispensed with, in view of the 100% consent affidavits of shareholders being on record.

b. **With respect to Secured creditors**:

Convening the meeting of Secured Creditors of the Applicant Company is hereby dispensed with, in view of the consent affidavit of sole secured creditor being on record.

c. **With respect to Unsecured Creditors**:

Convening the meeting of Unsecured Creditors of the Applicant Company is hereby dispensed with, in view of the consent affidavits of unsecured creditors to the extent of 99.71 % being on record.

(ii) In relation to TAEL, the Applicant Transferee Company,

a. **With respect to the Equity Shareholders:**

Convening the meeting of Equity Shareholders of the Applicant Company is hereby dispensed with in view of

the submission that there is no arrangement proposed with the Shareholders of the Transferee Company, and their rights and interests are not affected due to present scheme of arrangement. No new shares are being issued to the shareholders of the Transferor Company as it is Wholly Owned Subsidiary of the Transferee Company.

b. **With respect to the Secured Creditors:**

Convening the meeting of Secured Creditors of the Applicant Company is hereby dispensed with, in view of the consent affidavits of all the secured creditors being on record.

c. **With respect to Unsecured Creditors**:

Convening meeting of the Unsecured creditors of the Applicant Company is hereby dispensed with in view of the submission that their rights and interests are not affected due to present scheme of arrangement. The Net worth of the Transferee Company is very high and shall not be adversely affected as a result of the scheme of Arrangement.

14. In compliance of sub-section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, the Applicant Companies shall send a Notice of the Scheme with a copy of the Scheme of Arrangement to (1) Central Government through the Regional Director, North Western Region, (2) the Registrar of Companies, Gujarat; and (3) the Income Tax Authorities with full details of the Assessing Officer, PAN of the Applicant companies, with copy to the Chief Commissioner of Income Tax as well the advocate

appearing for the Income Tax Dept.; for both the Applicant Companies and further to (4) Reserve Bank of India; (5) BSE Limited (6) National Stock Exchange Limited as well as (7) Securities and Exchange Board of India; for only the Applicant Transferee Company and to (8) the Office of the Official Liquidator only for the Applicant Transferor Company stating that representations, if any, to be made by them shall be made within a period of 30 (Thirty) days from the date of receipt of such notice, failing which it will be deemed that they have no objection to make on the proposed Scheme of Arrangement. The said notices shall be sent forthwith, either by Registered Post or by Speed Post or by Courier or by Hand Delivery at the offices of the authorities as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules,2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230 shall send the same to this Tribunal with a copy of the same to be supplied to the Applicant Company.

16. This Company Application is allowed in terms of the above directions and disposed of accordingly.

SD/-

Ajai Das Mehrotra
Member(Technical)

SD/-

Deep Chandra Joshi
Member (Judicial)

Vaishali PS